

**OMV Aktiengesellschaft**

**Recommendation** **SELL** ★ ★ ★ ★ ★

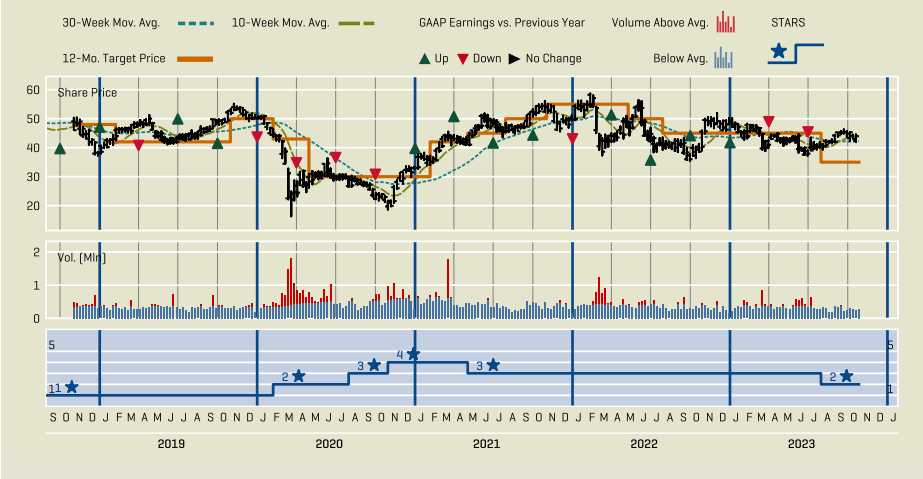
**Price** EUR 40.13 [as of market close Oct 27, 2023] **12-Mo. Target Price** EUR 35.00 **Report Currency** EUR **Investment Style** Mid-Cap Blend

**Equity Analyst** Jeff Lye, CFA

**GICS Sector** Energy **Summary** OMV is an Austrian international integrated oil & gas company. Its main operations are based in Eastern Europe.  
**Sub-Industry** Integrated Oil and Gas

| Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports) |                  |                          |          |                            |           |                             |      |
|----------------------------------------------------------------------------------------------|------------------|--------------------------|----------|----------------------------|-----------|-----------------------------|------|
| 52-Wk Range                                                                                  | EUR 52.0 - 37.21 | Oper.EPS2023E            | EUR 9.00 | Market Capitalization[B]   | EUR 13.13 | Beta                        | 1.76 |
| Trailing 12-Month EPS                                                                        | EUR 10.4         | Oper.EPS2024E            | EUR 8.00 | Yield [%]                  | 6.98      | 3-yr Proj. EPS CAGR[%]      | 12   |
| Trailing 12-Month P/E                                                                        | 3.86             | P/E on Oper.EPS2023E     | 4.46     | Dividend Rate/Share        | EUR 2.8   | SPGMI's Quality Ranking     | B    |
| EUR 10K Invested 5 Yrs Ago                                                                   | 12,062.0         | Common Shares Outstg.[M] | 327.00   | Trailing 12-Month Dividend | EUR 5.05  | Institutional Ownership [%] | 17.0 |

**Price Performance**



**Source:** CFRA, S&P Global Market Intelligence  
**Past performance is not an indication of future performance and should not be relied upon as such.**  
Analysis prepared by **Jeff Lye, CFA** on Jul 31, 2023 02:17 PM ET, when the stock traded at **EUR 41.00**.

**Highlights**

- ▶ OMV's Q2 2023 adjusted income of EUR472 [-67% Y/Y; -54% Q/Q] missed the consensus estimate by 14%. All three core segments deteriorated, primarily on lower olefin and polyolefin margins, a significant reduction in refining margins, and lower energy prices. Also, OMV's Q2 2023 operational performance was uninspiring, in our view, as the utilization rates of refineries and steam crackers were merely 73% and 83%, respectively [lower than initial 2023 guidance of 95% and 90%, respectively], whereas hydrocarbon production was down 7% Y/Y to 353 kboe/d. Operating cash flow pre-working capital returned negative in Q2 2023, lifting leverage to 11% versus 2% in Q1 2023.
- ▶ OMV lowered its 2023 guidance by slashing estimated oil & gas price realization, polyolefin margin, and refining margin alongside reducing the estimated utilization rate of crackers and refinery. We expect earnings downside linked to downstream and EU gas exposures. Also, hydrocarbon production is set to decrease due to the depletion of old assets, and the exclusion of Russian volume, which faces increased risks due to sanctions against Russia.
- ▶ We forecast EPS of EUR9.00 for 2023 and EUR8.00 for 2024.

**Investment Rationale/Risk**

- ▶ Our call is 2-STARs [Sell]. The company has relatively huge exposure in downstream, i.e. chemicals and refining, which we think will be vulnerable to our anticipated weakening of the refining environment in the remainder of 2023 given the continued flow of Russian refined petroleum products to non-sanctioning countries and the oil production cut by OPEC+. In addition, uncertainty on Russian gas supplies and our anticipated lower energy prices in 2023 do not bode well for OMV. The deterioration of operating cash flow pre-working capital was sharper compared to peers, which we think will lift OMV's leverage (11% in Q2 2023) and limit OMV's ability to provide attractive cash yield to shareholders. Meanwhile, the planned ADNOC/ Chems combination [combining Borealis and Borouge businesses to create a new global polyolefin powerhouse] may take time to come to fruition, in our view.
- ▶ Upside risks to our target price and/or recommendation include higher oil prices and better downstream margins.
- ▶ Our 12-month target price for OMV of EUR35, reflecting a P/NAV of 0.6x, a discount to peer P/NAV average of 1.2x, is justified in our view by OMV's riskier geopolitical exposure and downstream bias.

**Analyst's Risk Assessment**

| LOW | MEDIUM | HIGH |
|-----|--------|------|
|-----|--------|------|

Our risk level reflects the company's material exposure to Russia, which contributes around 20% of its oil & gas production and a majority of its gas imports.

**Revenue/Earnings Data**

| Revenue (Million EUR) |        |        |        |        |          |
|-----------------------|--------|--------|--------|--------|----------|
|                       | 1Q     | 2Q     | 3Q     | 4Q     | Year     |
| 2024                  | --     | --     | --     | --     | E 35,000 |
| 2023                  | 10,674 | 8,765  | --     | --     | E 36,700 |
| 2022                  | 15,352 | 14,384 | 16,747 | 14,152 | 60,635   |
| 2021                  | 6,429  | 7,266  | 8,512  | 13,921 | 37,087   |
| 2020                  | 4,918  | 3,138  | 3,696  | 4,956  | 16,550   |
| 2019                  | 5,404  | 6,035  | 5,948  | 6,074  | 23,461   |

| Earnings Per Share (EUR) |       |      |       |      |        |
|--------------------------|-------|------|-------|------|--------|
|                          | 1Q    | 2Q   | 3Q    | 4Q   | Year   |
| 2024                     | --    | --   | --    | --   | E 8.00 |
| 2023                     | 3.13  | 1.44 | --    | --   | E 9.00 |
| 2022                     | 3.27  | 4.34 | 3.69  | 2.14 | 13.44  |
| 2021                     | 1.30  | 1.90 | 0.85  | 1.65 | 6.40   |
| 2020                     | -0.49 | 0.20 | -1.49 | 5.75 | 3.85   |
| 2019                     | 1.06  | 1.56 | 1.40  | 0.95 | 4.97   |

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

**Dividend Data**

| Amount [EUR] | Date Decl. | Ex-Div. Date | Stk. of Record | Payment Date |
|--------------|------------|--------------|----------------|--------------|
| 2.8000       | Feb 02     | Jun 06       | Jun 07         | Jun 12 '23   |
| 2.2500       | Feb 02     | Jun 06       | Jun 07         | Jun 12 '23   |
| 2.3000       | Feb 03     | Jun 10       | Jun 13         | Jun 14 '22   |
| 1.8500       | Feb 04     | Jun 09       | Jun 10         | Jun 11 '21   |
| 1.7500       | Feb 06     | Oct 06       | Oct 07         | Oct 08 '20   |
| 1.7500       | Feb 15     | May 21       | May 22         | May 23 '19   |

Dividends have been paid since 2002 . Source: Company reports  
**Past performance is not an indication of future performance and should not be relied as such.**  
Forecasts are not a reliable indicator of future performance.  
Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.

# OMV Aktiengesellschaft

## Business Summary Jul 31, 2023

**COMPANY BACKGROUND:** Founded in 1956 as Austria’s national oil and gas company, OMV is now a public international integrated oil & gas firm headquartered in Vienna with over 22,000 employees worldwide. The company was listed on the Vienna Stock Exchange in 1987 and remains a key constituent of the Austrian Traded Index. It also maintains a sponsored Level 1 American Depositary Receipts program in the U.S. on the over-the-counter market. As at end-2022, OMV is jointly owned by the Austrian Sovereign Wealth Fund – Österreichische Beteiligungs AG [31.5%] and Emirati state-owned Mubadala Petroleum and Petrochemicals Holding Company [24.9%] under a consortium agreement.

**DIVISIONAL OVERVIEW:** Following a change in reporting structure starting in 2023, OMV’s businesses are now separated into three main segments: (i) Chemicals & Materials (Q1 2023 adjusted earnings: EUR94 million), which corresponds to its activities for production and sales of base chemicals and advanced polyolefins; (ii) Fuels & Feedstocks (EUR581 million), which includes refining, marketing of fuels and fuel retail outlet; and (iii) Energy (EUR1.48 billion), which encompasses its activities for the exploration, development, and production of crude oil and natural gas, the gas trading business alongside the new low-carbon business focused on geothermal energy and carbon capture and storage.

OMV is one of the world’s leading providers of advanced and circular polyolefin solutions with a polyolefin production capacity of 5.9 million tons and base chemicals capacity of 7.0 million in 2022. It supplies services and chemical products to customers worldwide together with Borealis and its two important joint ventures: Borouge (with ADNOC, based in the UAE and Singapore) and Baysta (with TotalEnergies, based in the US). For Fuels & Feedstocks, OMV operates three refineries in Austria, Germany, and Romania, runs a retail network of ~1,800 outlets across 10 countries, as well as owns 15% of ADNOC Refining and ADNOC Global Trading. The processing capacity of its refineries amounted to around 500k boe/d. In July 2023, OMV management announced that it will pursue negotiations with ADNOC on potential cooperation by combining Borealis and Borouge businesses to create a new global polyolefin powerhouse.

Under the Energy segment, the company focuses on four core regions including Central & Eastern Europe, North Sea, Middle East & Africa, and Asia Pacific. OMV no longer considers Russia as a core region as a result of sanctions. Hydrocarbon production averaged about 376 thousand barrels of oil equivalent (boe) per day in Q1 2023 with a roughly equal share of natural gas and liquid productions. Proven reserves, on the other hand, stood at 1.0 billion boe by end-2022, translating into an average reserve life of about 7.4 years.

**CORPORATE STRATEGY:** OMV envisions transforming itself from an integrated oil, gas, and chemicals company to become the leader in innovative sustainable fuels, chemicals, and materials. The group aims to become a net-zero emissions company by 2050 for all three scopes of greenhouse gas emissions. Some of OMV’s key long-term plans include growing sustainable polyolefin production to ~40% of its polyolefin output in Europe and increasing its production capacity of sustainable fuels to 1.5 million tons. As for Energy, OMV intends to build its low-carbon business via geothermal energy and carbon capture and storage in the interim as it pathways towards the exit of fossil production by 2050.

By taking this path, OMV aims to deliver an adjusted EBIT of >EUR6 billion by 2023, operating cash flow excluding net working capital of >EUR7 billion by 2030, and a return on average capital employed (ROACE) of >12%.

**FINANCIAL TRENDS:** Similar to other industry players, OMV’s adjusted EBIT soared 87% Y/Y to EUR11.2 billion in 2022 on exceptionally high price realizations of hydrocarbon and refining margin. Net gearing declined sharply to 3% as of end-2022 from 21% as of end-2021 supported by robust cash flow and proceeds from divestments. Consequently, OMV increased its DPS more than doubled its DPS to EUR5.05 in 2022 from EUR2.30 in 2021, transacting into a higher dividend payout of 45% from 36%.

## Corporate information

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www.omv.com

|                                              |                                            |
|----------------------------------------------|--------------------------------------------|
| <b>Officers</b>                              | <b>CFO &amp; Member of Executive Board</b> |
| <b>CEO &amp; Chairman of Executive Board</b> | <b>R. Florey</b>                           |
| A. Stern                                     |                                            |

|                      |                  |
|----------------------|------------------|
| <b>Board Members</b> |                  |
| A. A. Kuwaiti        | K. Rose          |
| A. Auer              | L. P. Feldmann   |
| A. Schorna           | M. Mayrwoger     |
| E. Hlawati           | N. Schachenhofer |
| E. Stadler           | R. Stajic        |
| G. Tumpel-Gugerell   | S. A. Mazrouei   |
| H. Bunderla          | S. Doboczky      |
| J. Renard            |                  |

|                 |                   |
|-----------------|-------------------|
| <b>Domicile</b> | <b>Auditor</b>    |
| Austria         | Ernst & Young LLP |

**Founded**  
1956

**Employees**  
22,271

**Stockholders**  
N/A

OMV Aktiengesellschaft

| Quantitative Evaluations                                                                                                                      |         |                                                                               |   |         |   | Expanded Ratio Analysis                |                                 |        |         |         |        |
|-----------------------------------------------------------------------------------------------------------------------------------------------|---------|-------------------------------------------------------------------------------|---|---------|---|----------------------------------------|---------------------------------|--------|---------|---------|--------|
| Fair Value Rank                                                                                                                               | NR      | 1                                                                             | 2 | 3       | 4 | 5                                      | 2022                            | 2021   | 2020    | 2019    |        |
| LOWEST <div>Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued [1] to most undervalued [5].</div> HIGHEST |         |                                                                               |   |         |   |                                        | Price/Sales                     | 0.26   | 0.47    | 0.65    | 0.70   |
|                                                                                                                                               |         |                                                                               |   |         |   |                                        | Price/Tangible Book Value       | 1.07   | 1.59    | 1.53    | 2.39   |
|                                                                                                                                               |         |                                                                               |   |         |   |                                        | Price/Pretax Income             | 1.46   | 3.36    | 12.33   | 4.74   |
|                                                                                                                                               |         |                                                                               |   |         |   |                                        | P/E Ratio                       | 3.58   | 5.70    | 15.87   | 10.08  |
|                                                                                                                                               |         |                                                                               |   |         |   |                                        | Avg. Diluted Shares Outstg. [M] | 327.14 | 327.27  | 326.99  | 326.86 |
|                                                                                                                                               |         |                                                                               |   |         |   | Figures based on fiscal year-end price |                                 |        |         |         |        |
| Volatility                                                                                                                                    | NA      | LOW                                                                           |   | AVERAGE |   | HIGH                                   |                                 |        |         |         |        |
| Technical Evaluation                                                                                                                          | NEUTRAL | Since September, 2023, the technical indicators for OMV AV have been NEUTRAL" |   |         |   |                                        |                                 |        |         |         |        |
| Insider Activity                                                                                                                              | NA      | UNFAVORABLE                                                                   |   | NEUTRAL |   | FAVORABLE                              |                                 |        |         |         |        |
|                                                                                                                                               |         |                                                                               |   |         |   |                                        |                                 |        |         |         |        |
| Key Growth Rates and Averages                                                                                                                 |         |                                                                               |   |         |   |                                        |                                 |        |         |         |        |
| Past Growth Rate [%]                                                                                                                          |         |                                                                               |   |         |   |                                        |                                 | 1 Year | 3 Years | 5 Years |        |
| Net Income                                                                                                                                    |         |                                                                               |   |         |   |                                        |                                 | 69.41  | 28.31   | 47.10   |        |
| Revenue                                                                                                                                       |         |                                                                               |   |         |   |                                        |                                 | 73.75  | 37.23   | 24.56   |        |
| Ratio Analysis (Annual Avg.)                                                                                                                  |         |                                                                               |   |         |   |                                        |                                 |        |         |         |        |
| Net Margin [%]                                                                                                                                |         |                                                                               |   |         |   |                                        |                                 | 6.11   | 6.83    | 6.91    |        |
| % LT Debt to Capitalization                                                                                                                   |         |                                                                               |   |         |   |                                        |                                 | 20.02  | 25.23   | 24.53   |        |

| Company Financials Fiscal year ending Dec 31         |        |        |        |        |        |        |        |        |        |        |
|------------------------------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| Per Share Data (EUR)                                 | 2022   | 2021   | 2020   | 2019   | 2018   | 2017   | 2016   | 2015   | 2014   | 2013   |
| Tangible Book Value                                  | 44.77  | 31.41  | 21.62  | 20.99  | 20.20  | 19.41  | 21.35  | 18.89  | 22.67  | 22.33  |
| Free Cash Flow                                       | 14.73  | 13.83  | 3.60   | 5.81   | 3.68   | 5.70   | 2.62   | -0.44  | -0.51  | -1.97  |
| Earnings                                             | 11.11  | 6.40   | 3.85   | 5.13   | 4.40   | 1.33   | -1.24  | -3.37  | 0.85   | 3.55   |
| Earnings (Normalized)                                | 13.44  | 8.77   | 2.08   | 4.97   | 4.88   | 4.97   | 3.05   | 3.52   | 3.47   | 3.41   |
| Dividends                                            | 2.80   | 2.30   | 1.85   | 1.75   | 1.75   | 1.50   | 1.20   | 1.00   | 1.25   | 1.25   |
| Payout Ratio (%)                                     | 22.86  | 33.52  | 50.15  | 38.37  | 40.96  | 98.33  | NM     | NM     | 145.00 | 36.83  |
| Prices: High                                         | 58.68  | 56.10  | 51.04  | 55.18  | 56.32  | 54.50  | 34.78  | 30.94  | 36.06  | 39.69  |
| Prices: Low                                          | 35.49  | 32.74  | 16.32  | 37.96  | 37.27  | 31.20  | 21.11  | 20.48  | 19.54  | 27.48  |
| P/E Ratio: High                                      | 4.40   | 6.40   | 24.50  | 11.10  | 11.50  | 11.00  | 11.40  | 8.80   | 10.40  | 11.60  |
| P/E Ratio: Low                                       | 2.60   | 3.70   | 7.80   | 7.60   | 7.60   | 6.30   | 6.90   | 5.80   | 5.60   | 8.10   |
| Income Statement Analysis (Million EUR)              |        |        |        |        |        |        |        |        |        |        |
| Revenue                                              | 60,635 | 34,897 | 16,550 | 23,461 | 22,931 | 20,222 | 19,260 | 22,527 | 35,913 | 42,414 |
| Depreciation + Amortization                          | 2,626  | 2,557  | 2,744  | 2,279  | 1,666  | 1,930  | 2,450  | 4,756  | 2,459  | 2,143  |
| Operating Expenses                                   | 2,827  | 2,856  | 2,827  | 2,178  | 1,907  | 1,646  | 1,678  | 1,593  | 1,677  | 1,914  |
| Effective Tax Rate (%)                               | 51.90  | 42.40  | -68.90 | 37.80  | 39.60  | 42.60  | 20.40  | 34.30  | 33.50  | 24.50  |
| Net Income                                           | 3,705  | 2,187  | 1,342  | 1,754  | 1,516  | 538.00 | NM     | NM     | 316.00 | 1,200  |
| Net Income (Normalized)                              | 5,361  | 3,314  | NM     | 1,850  | 1,662  | 1,419  | 802.00 | 845.10 | 1,033  | 1,024  |
| Balance Sheet and Other Financial Data (Million EUR) |        |        |        |        |        |        |        |        |        |        |
| Gross Property                                       | 46,168 | 43,195 | 41,561 | 39,017 | 36,862 | 34,317 | 34,987 | 35,580 | 33,535 | 29,822 |
| Net Property                                         | 19,317 | 18,569 | 19,203 | 16,479 | 15,115 | 13,654 | 14,613 | 16,440 | 18,488 | 17,026 |
| Capital Expenditures                                 | 2,943  | 2,497  | 1,960  | 2,158  | 3,193  | 1,586  | 2,022  | 2,978  | 3,834  | 4,768  |
| Capital Exprd to Revenue (%)                         | 4.90   | 7.20   | 11.80  | 9.20   | 13.90  | 7.80   | 10.50  | 13.20  | 10.70  | 11.20  |
| % Long Term Debt of Capitalization                   | 20.00  | 26.50  | 29.20  | 24.00  | 23.00  | 23.60  | 24.70  | 23.30  | 23.10  | 19.90  |
| Capitalization: Common                               | 19,149 | 15,505 | 13,739 | 13,012 | 11,905 | 11,216 | 10,915 | 11,672 | 11,591 | 11,614 |
| Capitalization: Preferred                            | N/A    | N/A    | N/A    | N/A    | N/A    | N/A    | N/A    | N/A    | N/A    | N/A    |
| Fixed Charges Coverage                               | 28.74  | 18.32  | 0.12   | 11.65  | 11.12  | 9.54   | 4.80   | 3.22   | 6.00   | 9.01   |
| % Operating Ratio                                    | 23.02  | 23.71  | 16.02  | 23.31  | 21.33  | 22.04  | 19.22  | 25.46  | 12.89  | 11.51  |
| % Net Income Margin                                  | 6.11   | 6.27   | 8.11   | 7.48   | 6.61   | 2.66   | -1.56  | -4.70  | 0.88   | 2.83   |
| % Return on Invested Capital                         | 20.60  | 11.33  | 0.07   | 8.99   | 9.67   | 7.99   | 4.03   | 3.08   | 6.84   | 8.75   |
| % Return on Common Equity                            | 21.00  | 14.30  | 9.40   | 13.50  | 12.40  | 3.90   | -3.60  | -9.50  | 2.40   | 9.90   |

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

**OMV Aktiengesellschaft****Industry Outlook**

Following the outperformance of European Energy sector in 2022 (EMEA Energy up 32% versus S&P 350 down 12%), the sector was largely flat in 2023 (YTD August), underperforming S&P 350, which was up 10%. Consequently, the Energy sector PE multiple versus S&P 350 has widened and is now at close to a 50% discount, approaching the lower end of its historical discount against S&P350 of 50-60%. We think the current discount is becoming more reasonable, but weak global economic activities deter us from turning fully positive on the EMEA Energy sector, therefore maintaining our opinion of Market Weight for European Energy.

World oil supply growth is expected to slow to 1.4 million barrels per day (mb/d) in 2023 versus 4.7 mb/d growth in 2022, according to International Energy Agency (IEA), as production expansion from Non-Opec+ (i.e., U.S. and Brazil) will be partially offset by a production cut by OPEC+. OPEC+ cut its crude oil production to a near two-year low in July 2023 as a major voluntary cut by Saudi Arabia took effect. The voluntary cut is expected to continue till September 2023 and to be extended if necessary.

According to IEA, oil demand in 2023 is set to rise by 2.2 mb/d to a record high of 102.1 mb/d, surpassing the pre-pandemic level. The rise in demand is expected to be led by the gain from non-OECD countries, specifically China, rather than OECD countries. Therefore, we think there may be a risk for the strong demand forecast to fall through, given that China's recovery appears to be lackluster with multiple GDP forecast downgrades following its release of Q2 2023 economic data. Meanwhile, the global oil inventories have grown steadily in H1 2023, easing the tremendous tightness felt by the industry previously.

As we access the supply and demand holistically, we think the additional OPEC+ cut in H2 2023 may result in increasing draws in inventories and oil on water, thus limiting further build-up whilst introducing renewed volatility to the market. As of August 2023, EIA forecasts Brent crude oil prices

averaging USD82/barrel in 2023 and USD86/barrel in 2024. Although the forecasts may not be as robust as 2022's USD101/barrel, the gradual improvement versus its previous May 2023 forecast of USD79/barrel in 2023 and USD74/barrel in 2024 certainly signals rowing optimism in oil prices, in our view.

Overall, we expect that integrated oil players, particularly those that have a dominant contribution from exploration and production will generate lower earnings in 2023 because the negative pricing effect will likely offset any small increase in volumes. Also, significantly lower refining margins will drag the earnings of integrated oil players. Cash yield to shareholders is expected to be substantial in 2023, but we think it may experience a steep step-down in 2024 as free cash flow drops and companies become more leveraged.

Meanwhile, we remain more positive on the energy equipment and service providers after a transition year in 2022, where they executed contracts won during the prior trough period, which in our view, generated lower margins. We believe their improving order books with favorable pricing and payment terms alongside stronger tender pipelines are likely to boost 2023 earnings. Furthermore, we believe they will be catalyzed by the reduced availability of energy and service providers alongside growth in the offshore renewable space.

**/ Jeff Lye, CFA**

**Sub-Industry: Integrated Oil and Gas Peer Group\*: Integrated Oil and Gas**

| Peer Group               | Stock Symbol  | Exchange    | Currency   | Recent Stock Price | Stk. Mkt. Cap. (M) | 30-Day Price Chg. (%) | 1-Year Price Chg. (%) | P/E Ratio  | Fair Value Calc. | Yield (%)  | Return on Equity (%) | LTD to Cap (%) |
|--------------------------|---------------|-------------|------------|--------------------|--------------------|-----------------------|-----------------------|------------|------------------|------------|----------------------|----------------|
| <b>OMV</b>               | <b>OMV AV</b> | <b>WBAG</b> | <b>EUR</b> | <b>40.13</b>       | <b>13,153.0</b>    | <b>-11.3</b>          | <b>-3.6</b>           | <b>4.0</b> | <b>N/A</b>       | <b>7.0</b> | <b>10.7</b>          | <b>19.6</b>    |
| BP Plc                   | BP LN         | LSE         | USD        | 5.30               | 89,550.0           | -1.5                  | 10.1                  | 6.0        | N/A              | 4.3        | 23.4                 | 32.4           |
| Eni                      | ENI IM        | BIT         | EUR        | 15.51              | 50,391.0           | 0.9                   | 20.1                  | 5.0        | N/A              | 5.8        | 17.2                 | 24.8           |
| Equinor ASA              | EQNR NO       | OB          | USD        | 373.80             | 1,105,419.0        | 5.6                   | -0.4                  | 7.0        | N/A              | 2.3        | 37.6                 | 28.3           |
| Galp Energia, SGPS, S.A. | GALP PT       | ENXTLS      | EUR        | 14.48              | 11,774.0           | 2.5                   | 41.2                  | 12.0       | N/A              | 5.5        | 31.5                 | 30.6           |
| Repsol                   | REP SM        | BME         | EUR        | 13.95              | 17,807.0           | -10.4                 | 0.8                   | 5.0        | N/A              | 4.1        | 14.0                 | 25.4           |
| Royal Dutch Shell Plc    | SHEL LN       | LSE         | USD        | 27.00              | 178,472.0          | 2.7                   | 11.4                  | 7.0        | N/A              | 3.5        | 15.1                 | 16.2           |
| Royal Dutch Shell Plc    | SHELL NA      | ENXTAM      | USD        | 31.41              | 204,990.0          | 2.0                   | 11.7                  | 7.0        | N/A              | 3.5        | 15.1                 | 16.2           |
| Total SA                 | TTE FP        | ENXTPA      | USD        | 63.00              | 145,422.0          | 0.1                   | 15.6                  | 7.0        | N/A              | 4.7        | 16.7                 | 23.3           |

\*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.

NA- Not Available; NM-Not Meaningful.

Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

# OMV Aktiengesellschaft

## Analyst Research Notes and other Company News

### July 31, 2023

06:36 AM ET... CFRA Lowers Opinion on Shares of OMV to Sell from Hold [OMV AV 41.00\*\*]:

We cut our target price for OMV to EUR35 from EUR45, reflecting a P/NAV of 0.6x, below peer P/NAV average of 1.2x, justified in our view by its riskier geopolitical exposure and downstream bias. We cut our 2023 EPS forecast to EUR9.00 [EUR11.00] and 2024 EPS to EUR8.00 [EUR9.00]. Q2 2023 adjusted income of EUR472 [-67% Y/Y; -54% Q/Q] missed consensus estimate by 14%. All segments deteriorated, primarily on lower olefin and polyolefin margins, significantly reduced refining margins, and lower energy prices. Operating cash flow pre-WC turned negative in Q2 2023, lifting leverage to 11% from 2% in Q1 2023. OMV lowers its 2023 guidance by slashing oil & gas price realization, polyolefin margin, and refining margin alongside reducing its utilizations of crackers and refinery. We lower OMV to Sell from Hold given its portfolio bias toward downstream, i.e., chemicals and refining, which has softened significantly [downstream made up 30 % of OMV 2022 profit versus peer average of ~20%], and moderating EU gas prices. / Jeff Lye, CFA

### April 30, 2023

11:36 PM ET... CFRA Keeps Hold Opinion on Shares of OMV [OMV AV 43.00\*\*\*]:

We keep our target price for OMV of EUR45, reflecting a P/NAV of 0.8x, below peer P/NAV average of 1.2x, justified in our view by its riskier geopolitical exposure. Q1 2023 normalized EPS of EUR3.13 [-4% Y/Y] beat consensus by 13% owing to strength in Fuels & Marketing [+178% Y/Y] on higher refining margin, and robust gas storage activities of Gas Marketing & Power sub-segment [+75% Y/Y], which partly mitigated the anticipated sharp fall in Energy [-23% Y/Y]. OMV's Q1 2023 operational performance was stable, in our view, as utilization rate of refineries and steam crackers was over 90%, and the reduction of hydrocarbon production [-18% Y/Y] was mainly due to change in consolidation method of Russian operations. We leave our earning forecasts unchanged despite the Q1 2023 earnings beat as we think the strong results of Gas Marketing & Power and refining are seasonal. We expect refining margin to weaken through the remainder of 2023 due to continued flow of Russian refined products to non-sanctioning countries. / Jeff Lye, CFA

### February 02, 2023

11:09 AM ET... CFRA Keeps Hold Opinion on Shares of OMV [OMV AV 43.50\*\*\*]:

We keep our 12-month target price for OMV of EUR45, reflecting a P/NAV of 0.8x, below peer P/NAV average of 1.2x, justified in our view by OMV's riskier geopolitical exposure. We cut our 2023 EPS forecast to EUR11.00 [EUR12.00] and introduce 2024 EPS forecast of EUR9.00. OMV's Q4 2022 EPS of EUR2.14 missed S&P Capital IQ consensus estimates by 17%. Q4 2022 normalized operating results fell 40% Q/Q to EUR2.1 billion no thanks to Exploration & Production [-51% Q/Q] on lower oil & gas realizations and Chemical & Materials [-73% Q/Q] on negative inventory revaluation, which overshadowed strength of Refining & Marketing [+19% Q/Q] on better refining margin. However, Q4 2022 operational performance was decent, in our view, as utilization rate of cracker and refinery plant recovered to around 90% from 50% following the recommissioning of Schwechat refinery. We think energy prices and refinery margins will normalize downward in 2023 versus a high base in 2022, hence putting a drag on OMV's earnings. / Jeff Lye, CFA

### October 28, 2022

10:11 AM ET... CFRA Keeps Hold Opinion on Shares of OMV AG [OMV AV 44.80\*\*\*]:

We keep our 12-month target for OMV of EUR45, reflecting a P/NAV of 0.8x, below peer P/NAV average of 1.2x, justified, in our view, by OMV's riskier geopolitical exposure. We leave our EPS forecasts unchanged as OMV's Q3 2022 EPS of EUR3.69 was in line with consensus estimates. Q3 2022 normalized operating results jumped 96% Y/Y to EUR3.5 billion driven by Exploration & Production [+222% Y/Y] on higher oil & gas realizations and Refining & Marketing [+75% Y/Y] on elevated refining margin, which more than offset Chemical & Materials [-66% Y/Y] dragged by lower polyolefin margin. However, Q3 2022 operational performance was weak, in our view, as hydrocarbon production was down 19% Y/Y, whereas the utilization rate of cracker and refinery plant dropped to c.50% from 90% due to plant turnarounds and incidents. Although Schwechat refinery resumed operations on October 7, we are cautious about its ability to ramp up production smoothly, which may prevent it from gaining the full benefit of strong market prices. / Jeff Lye, CFA

### July 29, 2022

01:47 AM ET... CFRA Keeps Hold Opinion on Shares of OMV [OMV AV 40.00\*\*\*]:

We adjust our 12-month target price for OMV to EUR45 [EUR50], reflecting a P/NAV

of 0.8x, a discount to European oil majors P/NAV average of 1.2x, justified in our view by OMV's relatively riskier geopolitical exposure. We lift our EPS forecasts to EUR15.50 [EUR10.00] for 2022 and EUR12.00 [EUR9.00] for 2023 after OMV's Q2 2022 EPS of EUR4.34 beat consensus EPS estimate of EUR3.49. Q2 2022 normalized operating results jumped 126% Y/Y to EUR2.9 billion, led by higher oil & gas realizations, refining margin, and olefin margin. Although favorable market prices have boosted OMV's financials, we deem Q2 2022 OMV's operational performance weak. Hydrocarbon production was down 30% Y/Y, whereas utilization rate of cracker and refinery plant dropped to circa 60% from 90% due to plant turnarounds and incident. Hence, we have a Hold call on OMV as we think its weak upstream production profile and disruption from Schwechat refinery incident would prevent it from gaining full benefit of strong market prices during H2 2022. / Jeff Lye, CFA

### May 10, 2022

12:15 AM ET... CFRA Keeps Hold Opinion on Shares of OMV [OMV AV 45.51\*\*\*]:

We trim our 12-month target price for OMV to EUR50 [EUR55], reflecting a P/NAV of 1.0x, a discount to European oil majors P/NAV average of 1.2x, justified in our view by OMV's relatively riskier geopolitical exposure. We raise our normalized EPS forecasts to EUR10.00 [EUR9.10] for 2022 and EUR9.00 [EUR8.60] for 2023. OMV's Q1 2022 normalized operating results grew substantially to EUR2.6 billion from EUR870 million in Q1 2021 a year ago, fueled by better performance in all segments. Sales were higher by 146%, driven by higher market prices, especially natural gas, which saw increased demand from industries and concerns around supplies due to the Russia-Ukraine conflict. This helps to more than offset the hit from impairments related to the discontinued Nord Stream 2 project, amounting to EUR1.0 billion. We continue to see a mixed outlook for OMV – while we expect improvement in refining margin, we think this will be accompanied by weaker upstream production and moderating chemical margins. / Firdaus Ibrahim, CFA

### February 04, 2022

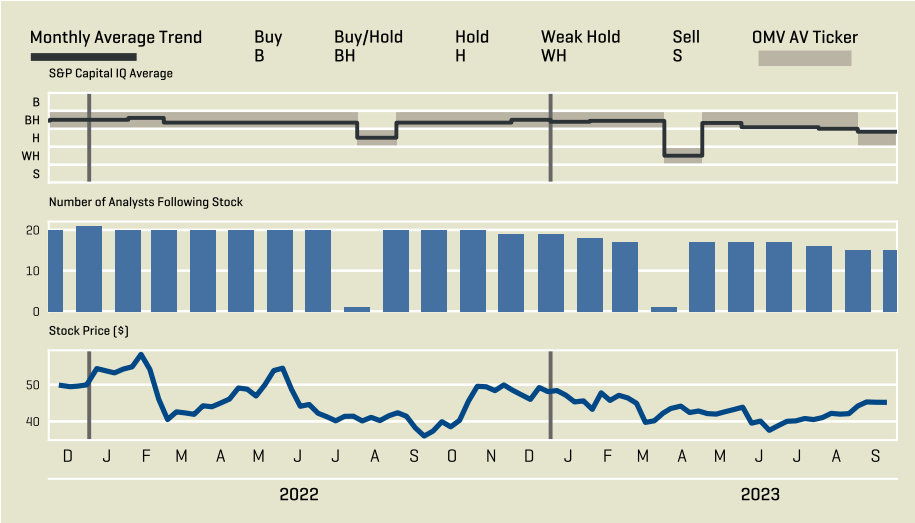
05:26 AM ET... CFRA Maintains Hold Opinion on Shares of OMV [OMV AV 54.00\*\*\*]:

We keep our 12-month target price on OMV at EUR55, reflecting a P/NAV multiple of 1.1x, which is below European oil majors' average of 1.3x. This is justified in our view by its relatively riskier geopolitical exposure. We raise current year EPS estimate to EUR9.10 from EUR7.30, but forecast a slight decline to EUR8.60 in 2023. OMV's Q4 2021 normalized net income of EUR1,018 million beat company-compiled consensus forecast by 4%. However, this was mainly attributable to lower effective tax rate. Profitability of upstream and chemical segments was slightly behind expectation due to asset write-offs and lower chemical sales volume. We are encouraged by OMV's rapid balance sheet deleveraging [net gearing fell 6%-pts Q/Q to 22%] and the 24% hike in DPS. Yet, we see a mixed outlook ahead with anticipated improvement in refining margin being accompanied by weaker upstream production and moderating chemical margins. / Jia Man Neoh, CFA

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

OMV Aktiengesellschaft

Analysts Recommendations



|            | No. of Recommendations | % of Total | 1 Mo.Prior | 3 Mos.Prior |
|------------|------------------------|------------|------------|-------------|
| Buy        | 6                      | 40         | 6          | 9           |
| Buy/Hold   | 1                      | 7          | 1          | 0           |
| Hold       | 2                      | 13         | 2          | 2           |
| Weak hold  | 4                      | 27         | 4          | 4           |
| Sell       | 2                      | 13         | 2          | 2           |
| No Opinion | 0                      | 0          | 0          | 0           |
| Total      | 15                     | 100        | 15         | 17          |

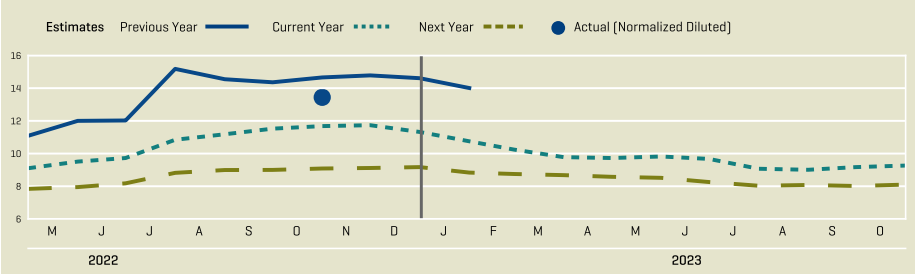
Wall Street Consensus Opinion

Hold

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that OMV AV will earn EUR 9.27. For fiscal year 2024, analysts estimate that OMV AV's earnings per share will grow by -12.6% to EUR 8.10.

Wall Street Consensus Estimates



| Fiscal Year     | Avg Est. | High Est. | Low Est. | # of Est. | Est. P/E |
|-----------------|----------|-----------|----------|-----------|----------|
| 2024            | 8.10     | 9.67      | 5.69     | 13        | 5.04     |
| 2023            | 9.27     | 10.98     | 8.36     | 11        | 4.41     |
| 2024 vs. 2023   | ▼ -13%   | ▼ -12%    | ▼ -32%   | ▲ 18%     | ▲ 14%    |
| Q3'24           | 2.05     | 2.22      | 1.91     | 3         | 19.96    |
| Q3'23           | 2.08     | 2.25      | 1.91     | 6         | 19.60    |
| Q3'24 vs. Q3'23 | ▼ -2%    | ▼ -2%     | N/A%     | ▼ -50%    | ▲ 2%     |

Forecasts are not reliable indicator of future performance.  
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.  
**Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.**

# OMV Aktiengesellschaft

## Glossary

### STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

### S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsize the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

|               |                     |
|---------------|---------------------|
| A+ Highest    | B Below Average     |
| A High        | B- Lower            |
| A Above       | C Lowest            |
| B+ Average    | D In Reorganization |
| NC Not Ranked |                     |

### EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

### 12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

### Abbreviations Used in Equity Research Reports

- CAGR - Compound Annual Growth Rate
- CAPEX - Capital Expenditures
- CY - Calendar Year
- DCF - Discounted Cash Flow
- DDM - Dividend Discount Model
- EBIT - Earnings Before Interest and Taxes
- EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
- EPS - Earnings Per Share
- EV - Enterprise Value
- FCF - Free Cash Flow
- FFO - Funds From Operations
- FY - Fiscal Year
- P/E - Price/Earnings
- P/NAV - Price to Net Asset Value
- PEG Ratio - P/E-to-Growth Ratio
- PV - Present Value
- R&D - Research & Development
- ROCE - Return on Capital Employed
- ROE Return on Equity
- ROI - Return on Investment
- ROIC - Return on Invested Capital
- ROA - Return on Assets
- SG&A - Selling, General & Administrative Expenses
- SOTP - Sum-of-The-Parts
- WACC - Weighted Average Cost of Capital

**Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes [paid in the country of origin].**

### Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

### STARS Ranking system and definition:

#### ★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

#### ★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

#### ★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

#### ★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

#### ★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

### Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



# OMV Aktiengesellschaft

## Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

### STARS Stock Reports:

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### Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five [six] model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section of the report for detailed methodology and the definition of Quantitative rankings.

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### STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

| Ranking | North America | Europe | Asia   | Global |
|---------|---------------|--------|--------|--------|
| Buy     | 36.8%         | 34.5%  | 41.6%  | 37.4%  |
| Hold    | 53.8%         | 51.2%  | 50.3%  | 52.6%  |
| Sell    | 9.4%          | 14.3%  | 8.1%   | 10.1%  |
| Total   | 100.0%        | 100.0% | 100.0% | 100.0% |

### Analyst Certification:

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